

Management Case Study – Interim Examiner’s Report

May & August 2024 exam session

The purpose of this document is to give some feedback on the May 2024 Management Case Study (MCS). It also aims to provide some useful advice for candidates who were unsuccessful in that exam and are preparing to re-sit in August 2024. While the August 2024 case study will be based on the same pre-seen, the unseen material introduced in May will not be relevant in August 2024.

The full set of post-exam materials (applying to both May and August 2024), including the full examiner's report, along with model answers, variants and marking schemes, will be available 2 weeks after the results of the August 2024 exam are released.

General comments

This case study was based on Flatthall, a company that owns and operates 174 buildings that are used to provide rented accommodation for full-time students. Flatthall must compete with several similar businesses as well as traditional providers of student accommodation such as private landlords and university halls of residence.

Each variant consisted of four equally-weighted tasks. Each of those tasks was subdivided into two requirements, with a recommendation as to the percentage of the available time that should be spent on each requirement.

Candidates were expected to pay close attention to the pre-seen, which offers an overview of the market for student accommodation and explains the business model adopted by Flatthall. Flatthall's properties are classified as purpose-built student accommodation (PBSA). This type of accommodation has become popular because it offers superior facilities in terms of comfort and convenience. Residents should benefit from features such as strong internet signals and close proximity to their places of study.

The following points were noted by the marking team:

Evaluate opportunities to add value	Senior managers often seek support from their subordinates when they are faced with decisions about strategic opportunities or possibilities. The MCS often puts candidates in a position where they are required to provide such support. Tasks may seek recommendations as to the choice of model or advice on the use of a particular model. Level 3 answers reflected the circumstances facing Flatthall and provided a full response to the requests made by superiors. It is important to address requests for assistance in a practical manner that reflects both the scenario and the specific requests made. Candidates scoring at level 3 tended to provide clear answers to the requirements, supporting the advice being offered with an application of relevant business models. Level 1 answers often focussed on textbook material, summarising business models and similar material extracted from study materials, but offered little practical advice based on those models. Level 1 answers often appeared to avoid making a commitment to recommending a particular course of action, perhaps because of a concern that any recommendation could be “wrong”. In practice, senior managers will expect specific advice and will be unwilling to accept generic textbook arguments. Case study answers generally seek a justification for any advice that is offered and marks are awarded on the basis of the strengths of any such justification.
Implement senior management decisions	Managers must often advise and assist their superiors with the implementation of decisions that have already been made. Questions dealing with implementation may require candidates to demonstrate an understanding of the entity’s present position and the changes that a change of direction in one area might create elsewhere. Level 3 answers demonstrated an understanding of Flatthall’s industry and the challenges faced by the company. This is an industry in which several stakeholders must be managed at any one time, with potentially conflicting interests. Answers at this level addressed the requirements in the context of the industry. Candidates’ advice was commercially sound. Level 1 answers were often generic, reflecting processes and procedures that appeared to have been learned from study materials, but with little adaptation to meet the needs of the managers who were seeking support with the implementation of specific decisions.

Manage performance and costs to aid value creation	Managers must be capable of measuring performance, both so that they can report to stakeholders and to motivate and evaluate the performance of individuals and responsibility centres within the entity. Performance measurement must reflect the needs of senior management in motivating and evaluating performance. Level 3 answers recognised the need to develop effective performance measures. These must be designed to ensure that senior management is equipped to control the business and ensure that staff interests are aligned with those of the company. Level 1 tended to ignore the business and the factors that might affect the performance of its staff or customers. Answers at this level tended to gloss over the potential impact that decisions might have on overall performance.
Measure performance	Financial managers are often called upon to advise on the preparation and interpretation of financial statements for publication. It may be necessary to advise senior management on the application of financial reporting standards and also on the manner in which the reporting of a transaction could influence the opinions of external stakeholders. Level 3 answers generally identified the accounting issues arising from the unseen materials and offered a suitable response to those issues that was consistent with the relevant accounting regulations. Candidates at this level were able to identify the problem and to cite the relevant accounting standard. Answers then resolved the problem with an explanation of why that resolution was consistent with the regulation that had been identified. Level 1 answers often did little more than summarise the requirements of one or more potentially relevant accounting standards. Such answers often suggested a detailed knowledge of the standard but offered little application of the standard's requirements to the task in hand. It is rarely sufficient to quote, say, a formal definition set out by an accounting standard if little or no attempt is made to relate that definition to the issues raised in the scenario. Candidates still appear to be weak in terms of their understanding of the F Pillar.
Manage internal and external stakeholders	Managers must be able to maintain good relationships with both internal and external stakeholders. They may also be required to advise senior managers on the implications of events and proposed changes to the business for ongoing relationships. This can be complicated because it is not always possible to guarantee a satisfactory outcome for all interested parties. It may not always be possible to benefit one party without adversely affecting another.

	Level 3 answers recognised the relationships between Flatthall and the stakeholders who are concerned with a particular matter. Strong answers reflected Flatthall's bargaining position with respect to those stakeholders and reflected the company's strengths and weaknesses. Answers at this level reflect a clear understanding of Flatthall's circumstances. Level 1 answers often failed to acknowledge the specific conflicts between competing interests. Answers frequently sought an outcome that avoided conflict altogether, which is desirable when such an outcome can be achieved, but it is often impossible in practice. Again, candidates should not be afraid to adopt a position and to argue in its favour. Markers will always mark candidate's arguments on their merits, even if they disagree with the candidate's overall conclusion.
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The following hints and tips should be considered if you plan to sit the Management Case Study in August 2024:

Before the exam:

1. It is important to revise and master the study materials. Mastery implies that you can explain the meaning of technical terms and definitions so that they can be understood by an intelligent colleague who does not have an accountancy background.
2. Review the pre-seen carefully. Flatthall provides accommodation to full-time students who have high expectations of the service that they will receive. There is no need to memorise the pre-seen, but it should inform answers to the various tasks in the case study.
3. Review the free resources available in the [CGMA Study Hub](#). These include a [re-sitters guide](#), [performance descriptors](#) and many more support articles.
4. Take time to prepare detailed written answers to past cases. The case study tests the ability to interpret and respond to practical situations. That requires skills that can be developed and improved by practising, even if practice is based on past cases set in different industries.

During the exam:

1. Think about the requirements. Take a few minutes at the start of each task to digest the information that is provided with the requirements. Think about the issue raised in the task and think about how that should be managed by Flatthall.

2. Use your time wisely. Each task is broken down into two or three elements and each element has a percentage to reflect its weighting. If you have 45 minutes for a task and sub-task (a) is worth 60%, then you should spend $45 \times 60\% = 27$ minutes on it.
3. Try not to waste time. Don't, for example, write out a formal definition just because you can, unless you believe that it will help you write a better developed and more relevant answer. Or summarise a real-world business case that you read about when preparing, again unless you believe that it is relevant to the requirement and supports your answer.
4. Do, please, write in paragraphs. But don't waste time (and make your answer difficult to read) by over-elaborate use of highlighting with bold or underlined text.
5. Please read the requirements carefully and make sure that the answer you write is the answer to the question asked. There are no marks available for the answer to another question that you wish we had asked.